

# Internal Audit Report Q1 2026

## Executive Summary

Audit period: January 1 – March 31, 2026.

Scope: Procurement, Expense Reimbursement, Revenue Recognition.

Overall assessment: Satisfactory with 3 medium-risk findings.

### Finding 1: Procurement Approval Bypass

2 instances where purchases >100k RMB approved by VP only (should require CFO).

Risk: Authorization control weakness.

Recommendation: Implement system hard-stop in ERP for amounts exceeding threshold.

Management response: ERP control to be implemented by June 30, 2026.

### Finding 2: Expense Report Timeliness

15% of expense reports submitted >30 days after the expense date.

Risk: Period cutoff misstatement.

Recommendation: Enforce 15-day submission policy via system reminder.

### Finding 3: AR Follow-up

3 customers with balances >180 days not yet referred to legal (total RMB 850k).

Recommendation: Automate escalation trigger at 180-day mark.